

Fasal Seva – NIC Codes & Business Registration Guide

Quick Summary for Team

Fasal Seva needs to be registered as a startup with the right NIC (National Industrial Classification) codes. These codes tell the government what our business does. Since we're building an **AI-powered farming app + IoT sensor device**, we need codes that cover both software and hardware.

Action Items:

1. Register on **Startup India (DPIIT)** portal with NIC code **62011** as primary
2. Use **26309** as secondary code for IoT hardware
3. Get GST registration with SAC 998314 (software) + HSN 8543 (hardware)
4. Apply for **MSME/Udyam registration** – gives us tax benefits and easier bank loans

What is Fasal Seva?

Fasal Seva is a smart farming startup that provides:

- □ Mobile app with satellite-based crop monitoring (NDVI, NDWI, NDRE, SAVI, EVI)
- □ Sevak AI – Hindi voice assistant for farming advice
- □ IoT soil sensors for real-time moisture, temperature, and nutrient data
- □ AI-powered smart irrigation scheduling

Target Market: 120M+ small and medium farmers in India **Current Traction:** 72+ users, available free on Google Play Store **Business Model:** Freemium app + IoT hardware sales (□3,499 MRP, □1,000 BOM – 63% margin)

Recommended NIC Codes

Primary Code (Main Business Activity)

Code	Description	Why This?
62011	Software publishing, consultancy and supply	Covers our mobile app, AI/ML platform, SaaS, satellite data processing

Secondary Code (Additional Activity)

Code	Description	Why This?
26309	Manufacture of electronic communication equipment	Covers IoT sensor devices, wireless modules, embedded hardware

Alternative Codes (if needed)

Code	Description	Use Case
62099	Other IT service activities	AI assistant, analytics, data processing

26201	Manufacture of computers & peripherals	IoT hardware / embedded systems
26511	Manufacture of electronic measuring instruments	Soil sensors, environmental monitoring
01629	Support activities for crop production	Farm advisory, precision agriculture
72200	R&D in social sciences	If framing as agri-tech R&D

GST Codes

Type	Code	Description
SAC	998314	IT design and development services (for app/software)
HSN	8543	Electrical machines and apparatus (for IoT devices)
HSN	9027	Instruments for physical/chemical analysis (for soil sensors)

Registration Roadmap

Step 1: DPIIT Startup Recognition

- **Portal:** <https://www.startupindia.gov.in>
- **NIC Code:** 62011 (primary) + 26309 (secondary)
- **Benefits:** Tax exemption (Section 80-IAC), self-certification for labor/environment laws, fast-track patent filing, access to Fund of Funds

Step 2: MSME/Udyam Registration

- **Portal:** <https://udyamregistration.gov.in>
- **Category:** Micro Enterprise (investment < ₹1 Cr, turnover < ₹5 Cr)
- **Benefits:** Priority sector lending, lower interest rates, government tender preference, subsidies

Step 3: GST Registration

- **Required when:** Annual turnover exceeds ₹20 lakh (₹10 lakh for special states)
- **Register early** if selling IoT hardware (interstate supply)

Step 4: Incorporation

- **Recommended:** Private Limited Company (for VC funding)
- **Alternative:** LLP (lower compliance, but harder to raise equity)
- **Portal:** <https://www.mca.gov.in>

Tax Benefits Available

Benefit	Details
Section 80-IAC	3 years tax holiday (out of first 10 years)
Angel Tax Exemption	DPIIT recognized startups exempt from Section 56(2)(viib)

Capital Gains Exemption	Section 54GB – reinvestment in eligible startups
MSME Benefits	Priority lending, subsidy schemes, GeM marketplace access

Important Notes

- **Primary NIC 62011** is the safest choice – most agri-tech and SaaS startups in India use this
- You can always add secondary codes later
- DPIIT recognition is **free** and takes 2-3 working days
- Keep your Certificate of Incorporation, PAN, and company address proof ready
- The entity must be < 10 years old and turnover < ₹100 Cr to qualify as "startup"

Prepared by Echo for Fasal Seva team – March 2026